

FOMC ready to weather economic uncertainty

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08:22 June 18 2026

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At Chair Warsh's first meeting, the FOMC showed an intent to bring inflation to target, but also a belief that the economy's strength can be maintained.



The first FOMC meeting with Kevin Warsh as Chair was largely as anticipated, with communication on the state of the economy and outlook kept tight and Chair Warsh focused on the practices of the Committee and the Federal Reserve more broadly.

On the latter, a large portion of the press conference was given over to the announcement and rationale of five task force streams across communications, the Fed's balance sheet, data sources, productivity and jobs, and the Fed's inflation framework, with work to be completed "hopefully" by year end.

On the current state of the economy, the labour market was characterised as largely in balance, the statement noting that "Job gains have kept pace with the workforce". Economic activity was also said to be expanding at a "solid pace", with productivity and capital investment "strong" – without recognition of the disproportionate contribution of tech. The wording on inflation was blunt, Chair Warsh making clear in the press conference that the "elevated" inflation of the past 5 years is unacceptable and that the Committee "will deliver price stability".

Regarding the near-term policy outlook, the market showed concern over 9 of 18 respondents expecting at least one rate hike by year end. However, in the press conference, Chair Warsh made clear the degree of uncertainty participants felt in coming to these views. Also, at least with respect to energy prices, in recent days risks have begun to recede, allowing the FOMC to look through immediate pressures – if the nascent trend in oil prices and refining margins remains in place. It is also important to highlight that the fed funds projection for end-2027 is the current rate of 3.625% and the end-2028 median 25bps lower at 3.375%. Chair Warsh refrained from personally offering point forecasts, consistent with his position on forward guidance.

Overall, the FOMC are cognisant of inflation risks and the potential need to react to them, but members also believe robust growth and inflation at target can co-exist. If the US/Iran deal holds over coming months, the FOMC will most likely keep policy on hold. But, if the conflict flares again and/or there is evidence of secondary impacts in prices or expectations, the FOMC is willing to hike to bring inflation back to the 2.0%yr target inside the current forecast period.

As we have repeatedly highlighted, the reaction of the long end of the yield curve will have a material bearing on upcoming policy decisions, determining financial conditions for main street, particularly via mortgage rates.

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